

India's smartphone dream 2.0

It's time. Once again! To make the great Indian smartphone. There is almost a seductive rhythm to India's tech policy narratives. Every few years, headline-grabbing announcements promise the imminent arrival of an indigenous hardware champion – a home-brewed smartphone built to reclaim domestic shelf space from foreign players.

The latest surge of optimism comes on the back of the government's Rs 62,500 crore Mobile Phone Manufacturing Scheme (MPMS). With Union Telecom Minister Ashwini Vaishnaw projecting that up to three domestic brands could emerge within the next 10 to 14 months under new local design and manufacturing mandates, the nationalistic fervor is once again reaching a crescendo.

Mivi, the audio brand, has plans to launch a phone. Ai+, has already made waves for the same. Bolt, a brand known for entry-level smartwatches has unveiled its phones. Boat, Noise, and more are expected to follow.

If past cycles and current supply-chain economics are any indicator, this upcoming wave will produce another fleet of baseline products: devices burdened by mediocre specs, uninspired off-the-shelf components, and half-baked software experiences. A decade ago, brands like Micromax, Karbonn, and Lava dominated the domestic market. At their peak, they commanded over 40 per cent of Indian mobile sales. However, that dominance was built on a fragile foundation: rebadging.

In simple words, they were buying white-label, off-the-shelf reference designs from Shenzhen, slapping their logos on plastic backs, and competing purely on price margins. When Chinese heavyweights like Xiaomi, Oppo, Vivo, and RealMe entered India around 2014, they didn't just offer lower prices; they brought integrated supply chains, superior design, and custom software skins an.

Within three years, the domestic lineup collapsed. The flaw was a lack of original IP. Today, as the MPMS framework offers financial incentives such as a 5% baseline, 3% for in-house R&D, and 1.5% for domestic sourcing, the market has grown far more



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unforgiving than it was a decade ago.

In 2014, hundreds of millions of Indians were upgrading from feature phones to smartphones. Today, the sub-Rs 10,000 category where Indian brands historically competed is experiencing margin compression due to surging component and memory costs. Consumers are upgrading to mid-range and flagship devices. Under previous Production Linked Incentive (PLI) schemes, India made immense strides in assembly and exports. But assemble-in-India is fundamentally different from designed-in-India.

Building a modern smartphone requires billions of dollars in R&D to develop custom image signal processors (ISPs), thermal distribution architectures, complex RF frontends, and display tuning. Without these, a smartphone is merely a collection of parts sourced from Qualcomm, MediaTek, Samsung, and Sony, with no product differentiation.

Software dictates user retention. Developing a polished Android overlay requires engineering teams, ongoing QA testing, and developer relations – capacities that domestic players simply have not cultivated. When low-cost brands try to cut software costs, they inevitably resort to pre-installed adware, invasive pop-ups, and delayed updates, alienating users after just a few weeks of real-world use. If India is to build a smartphone brand capable of standing alongside global leaders, the industry must pivot from superficial assembly to deep tech equity.

Patriotism is a powerful marketing angle, but it does not fix a sluggish UI, improve low-light photography, or prevent throttling during routine tasks. The prospect of domestic smartphone brands emerging under new government schemes is an encouraging step for the manufacturing ecosystem. But celebrating their arrival without scrutinising their technical substance risks perpetuating a grand illusion. Until they can engineer a phone that competes on raw specs, camera performance, and software polish in the mid-to-premium segment, the dream of an Indian smartphone giant will remain just a dream. **d**